

○ Spectrum “Propertization”

If the FCC were to give spectrum licensees full ownership rights, it would significantly decrease the likelihood that spectrum would be available for unlicensed uses. Companies that pay for control over frequencies will want to recoup their investments, which means excluding competing users. Even if “band managers” could operate toll-gated frequencies for unlicensed use, the transaction costs involved would be substantial. Worst of all, propertization is a one-way street. Once spectrum becomes private property, converting some of it to unlicensed “parks” or even eliminating restrictions on band sharing could require costly eminent domain proceedings. Giving spectrum licensees greater flexibility or opportunities to engage in secondary market transactions may make sense, but the step from there to further propertization would have significant negative consequences.

○ Backhaul Discrimination

Unlicensed wireless data devices must at some point connect into the public Internet. For traditional point-to-multipoint systems such as WiFi, an access point serves as the local hub and connects to a wired data connection such as a T-1 line to deliver traffic to the Internet. Bringing data from a local point of presence to a central aggregation point is known as “backhaul.” It typically involves facilities of incumbent local exchange carriers, because their networks span virtually every city. Because of the lack of competition, backhaul is expensive. Moreover, if telephone companies see unlicensed wireless devices as competitive, they may seek to prevent them from connecting into their networks. An advantage of meshed networks and systems that combine short-range unlicensed “tails” with long-range unlicensed “backbones” is that they cut down on the need for wired backhaul connections. Until such alternatives are widely available, the government should reject rule changes that would make it easier for telephone companies to discriminate in provision of wireless backhaul, and should police against anti-competitive behavior.